**HOWDEN JOINERY PROPERTIES LIMITED**

**DIRECTORS' REPORT AND FINANCIAL STATEMENTS**

**FOR THE 54 WEEKS ENDED 30 DECEMBER 2006**

**REGISTERED NUMBER: 5656171**

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## HOWDEN JOINERY PROPERTIES LIMITED
## DIRECTORS' REPORT

The Company was incorporated on 16 December 2005, and commenced trading on 11 June 2006 The directors have pleasure in submitting their first report and the audited financial statements of the Company for the 54 weeks to 30 December 2006

### BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc, formerly MFI Furniture Group Plc and operates as part of the Galiform Plc's Trade division The Company's principal activities are owning, leasing, and managing properties on behalf of Howden Joinery Limited, a fellow Group subsidiary, for which the Company receives income from Howden Joinery Limited These properties were transferred into this Company during the period from another group subsidiary The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the Company's profit and loss account on page 5, the Company's sales are £13,119,000 and profit after tax is £91,000 The directors are satisfied with the progress of the business and do not recommend the payment of a dividend The balance sheet shows the Company's financial position at the end of the year, which the Directors consider to be satisfactory

The Galiform Plc group ("the Group") manages its operations on a divisional basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Trade division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report which does not form part of this report

### PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are holding investments in other Galiform PLC Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

### ENVIRONMENT

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the Group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

### DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

Instant Companies Limited (appointed on 16 December 2005, resigned 10 February 2006)
I P H Arnold (appointed 10 February 2006, resigned 5 May 2006)
M Ingle (appointed 5 May 2006)
G Regan (appointed 10 February 2006, resigned 5 May 2006)
K Sims (appointed 5 May 2006, resigned 30 December 2006)
C Youell (appointed 5 May 2006)
G Hughes (appointed 15 January 2007)
J McManus (appointed 15 January 2007)

## DIRECTORS (cont'd)

No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc, at 30 December 2006 are disclosed in the accounts of that company except those set out below

| | At 30 December 2006 | |
|---|---|---|
| | Ordinary shares of 10p each | |
| | Shares in issue | Share options |
| C Youell | Nil | 429,611 |
| K Sims | 35,140 | 336,840 |

The options outstanding are exercisable at prices between 42 0p and 160 1p

K Sims also held a beneficial interest in the Galiform Sharesave scheme in common with all members of the scheme At the year end, the scheme held 1,940,063 shares

C Youell and, K Sims also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 941,942 shares

Under the terms of the Senior Managers Co-Investment Plan, C Youell and K Sims had 18,108 and 23,306 conditionally held shares respectively with Galiform Plc granting 27,162 and 34,959 matching shares respectively The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

## SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions Payments are actually made by another group company, Howden Joinery Limited Information regarding creditor days ratios can be found in that company's accounts

## AUDITORS

The directors at the date of approval of this report confirm that

- so far as the directors are aware, there is no relevant audit information of which the Company's auditors are unaware,
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the Company's auditors aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

## REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

**HOWDEN JOINERY PROPERTIES LIMITED**
**DIRECTORS' REPORT (cont'd)**

**STATEMENT OF DIRECTORS' RESPONSIBILITIES**

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

By Order of the Board

G M Hughes
Secretary
13 July 2007

## INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY PROPERTIES LIMITED

We have audited the financial statements of Howden Joinery Properties Limited for the 54 week period ended 30 December 2006 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 13 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the Company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

**Respective responsibilities of directors and auditors**

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

**Basis of audit opinion**

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

**Opinion**

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the Company's affairs as at 30 December 2006 and of its profit for the 54 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

20 July 2007

**HOWDEN JOINERY PROPERTIES LIMITED**
**PROFIT AND LOSS ACCOUNT**
**FOR THE 54 WEEKS ENDED 30 DECEMBER 2006**

| | NOTES | 54 weeks to 30 Dec 2006 £000 |
|---|---|---|
| Rental income | 1 | 13,119 |
| Cost of sales | | (11,821) |
| **Gross profit** | | 1,298 |
| Administrative expenses | | (874) |
| **Operating profit** | | 424 |
| Loss on disposal of properties | | (143) |
| **Profit on ordinary activities before finance charges and taxation** | | 281 |
| Finance charges | 5 | (3) |
| **Profit on ordinary activities before taxation** | 2 | 278 |
| Tax on profit on ordinary activities | 6 | (187) |
| **Profit for the financial year** | 11 | 91 |

The results for the period ended 30 December 2006 derive from continuing operations

There are no recognised gains or losses in the current financial period other than those included in the profit and loss account and therefore no statement of recognised gains and losses has been presented

**HOWDEN JOINERY PROPERTIES LIMITED**
**BALANCE SHEET AT 30 DECEMBER 2006**

| | NOTES | 30 December 2006 £000 | £000 |
|---|---|---|---|
| **Fixed assets** | | | |
| Tangible assets | 7 | | 6,871 |
| **Current assets** | | | |
| Debtors | 8 | 8,019 | |
| **Current liabilities** | | | |
| Creditors amounts falling due within one year | 9 | (14,489) | |
| **Net current liabilities** | | | (6,470) |
| **Total assets less current liabilities** | | | 401 |
| **Provisions for liabilities** | 10 | | (310) |
| **Net assets** | | | 91 |
| **Capital and reserves** | | | |
| Called up share capital | 11 | | 0 |
| Profit and loss account | 11 | | 91 |
| **Shareholders' funds** | | | 91 |

Approved by the Board of Directors on

13 July 2007

G Hughes
Director

## 1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period

### BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting accounting standards as modified by the revaluation of certain land and buildings

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the undertakings for the 54 week period ended 30 December 2006, being the Saturday nearest to the Company's accounting reference date of 30 December

### RENTAL INCOME

Rental income comprises of income received from a licence permitting Howden Joinery Ltd to occupy properties within the ownership or leasehold of Howden Joinery Properties Ltd, and in respect of one property, the rent received under an operating lease between Howden Joinery Ltd and Howden Joinery Properties Ltd It also includes management charges received for managing the rentals

### FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation Depreciation is charged on freehold properties (excluding land values and payments on account, and assets in the course of construction) and long leaseholds at the rate required to write off the cost or valuation of the assets over their estimated useful life of 50 to 66 years Short leaseholds are depreciated over the life of each individual lease

In addition, accelerated depreciation is provided on those properties in which trading has ceased during the period in order to reduce the value of the relevant properties to the estimated recoverable amount

### TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

Except where otherwise required by accounting standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset, and
(b) gains on sale of assets where those assets have been rolled over into replacement assets

### LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

## 2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

Profit on ordinary activities before taxation is stated after charging

| | 54 weeks to 30 Dec 2006 £000 |
|---|---|
| Depreciation - owned assets | 239 |
| Rentals paid on property operating leases | 11,320 |
| Loss on disposal of short leasehold properties | 143 |

The auditors' remuneration is £10,000 for audit services This is borne by a fellow subsidiary undertaking, Howden Joinery Limited

## 3. STAFF NUMBERS AND COSTS (excluding directors)

The Company had no employees, and staff costs amounted to £nil

## 4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period

## 5. FINANCE CHARGES

Other finance charges

| | 54 weeks to 30 Dec 2006 £000 |
|---|---|
| Interest paid on rent reviews | 3 |
| | 3 |

## 6. TAXATION

| | 54 weeks to 30 Dec 2006 £000 |
|---|---|
| Current tax charge for the period | 248 |
| Deferred taxation (note 9) | (61) |
| Tax charge on profit on ordinary activities | 187 |

**Factors affecting current period corporation tax**

| | 54 weeks to 30 Dec 2006 |
|---|---|
| The taxation charge, as a percentage of profit on operating activities before taxation, is calculated at | 67 5% |

There is no unprovided deferred tax

## 6 TAXATION (Cont'd)

The current corporation tax charge for the period is lower than the standard rate of corporation tax of 30% for the following reasons

| | 54 weeks to 30 Dec 2006 £000 |
|---|---|
| Profit on ordinary activities before taxation for the period | 278 |
| Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% | 83 |
| Effects of | |
| Depreciation in excess of capital allowances | 61 |
| Profit on disposal of non-qualifying fixed assets | 43 |
| Current tax charge for the period | 187 |

**Factors that may affect future tax charges**
It is expected that the effective future rate of corporation tax will increase due to a decrease in disposals of fixed assets and the volatility of deferred tax

## 7. TANGIBLE FIXED ASSETS

| | | Leasehold properties | | |
|---|---|---|---|---|
| | Land & Freehold Properties £000 | Over 50 Years £000 | Under 50 Years £000 | Total £000 |
| **Cost or valuation** | | | | |
| At 16 December 2005 | - | - | - | - |
| Transfers from fellow group subsidiary | 963 | | 5,275 | 6,238 |
| Additions | - | 83 | 955 | 1,038 |
| Disposals | (166) | - | (4) | (170) |
| **At 30 December 2006** | **797** | **83** | **6,226** | **7,106** |
| **Depreciation** | | | | |
| At 16 December 2005 | - | - | - | - |
| Charge for the year | (4) | (1) | (233) | (238) |
| Disposals | 3 | - | - | 3 |
| **At 30 December 2006** | **(1)** | **(1)** | **(233)** | **(235)** |
| **Net book value** | | | | |
| At 16 December 2005 | - | - | - | - |
| **At 30 December 2006** | **796** | **82** | **5,993** | **6,871** |

Land & Freehold properties at cost includes land of £514,000 on which depreciation is not provided

## 8. DEBTORS

| Amounts falling due within one year | 30 Dec 2006 £000 |
|---|---|
| Trade debtors | 27 |
| Amounts owed by parent and fellow subsidiary undertakings | 1,935 |
| Prepayments and accrued income | 4,834 |
| VAT | 1,223 |
| | 8,019 |

## 9. CREDITORS

| Amounts falling due within one year | 30 Dec 2006 £000 |
|---|---|
| Trade creditors | 64 |
| Amounts owed to parent and fellow subsidiary undertakings | 12,524 |
| Corporation tax | 248 |
| Accruals and deferred income | 1,653 |
| | 14,489 |

## 10. PROVISIONS FOR LIABILITIES

Movements during the period were as follows

| | Deferred Taxation £000 | Property provision £000 | Total £000 |
|---|---|---|---|
| At 16 December 2005 | - | - | - |
| Transfers from fellow group subsidiary | 167 | 161 | 328 |
| Provided | - | 43 | 43 |
| Utilised | (61) | - | (61) |
| **At 30 December 2006** | 106 | 204 | 310 |

An analysis of the deferred tax liability provided in the accounts is as follows

| | 30 Dec 2006 £000 |
|---|---|
| Accelerated capital allowances | 167 |
| Other timing differences | (61) |
| | 106 |

There is no unprovided deferred tax

## 11. SHARE CAPITAL & RESERVES

### i) Share capital

| | 30 Dec 2006 £ |
|---|---|
| 100 authorised ordinary shares of £1 each | 100 |
| 1 allotted, called up and fully paid ordinary share of £1 | 1 |

## 11. SHARE CAPITAL & RESERVES (cont'd)

### ii) Movements in share capital and reserves

Movements in share capital and reserves during the period were as follows

| | Share Capital Account £000 | Profit and loss Account £000 | Shareholders' Funds £000 |
|---|---|---|---|
| At 16 December 2005 | - | - | - |
| Profit for the year | - | 91 | 91 |
| **At 30 December 2006** | - | 91 | 91 |

## 12. FINANCIAL COMMITMENTS

At 30 December 2006 the annual commitments under non-cancellable operating leases for land and buildings were as set out below

| | 30 Dec 2006 £000 |
|---|---|
| Operating leases which expire | |
| Within one year | 529 |
| Between two and five years | 4,617 |
| After five years | 15,281 |
| | 20,427 |

There were no such commitments for other assets

## 13. CONTINGENT LIABILITIES

The Company is party to a group Value Added Tax (VAT) registration with other members of the Galiform Group It is jointly and severally liable for the VAT payable by those other Group undertakings which, at 30 December 2006, amounted to £19 0m (2005 £19 0m)

In February Galiform Plc refinanced its medium term debt The Company has guaranteed the obligations of other group companies under this bank facility

## 14. ULTIMATE PARENT COMPANY AND RELATED PARTY DISCLOSURES

The Company's immediate parent company is Howden Joinery Limited and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary